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ROLE OF GREEN MARKETING IN INFLUENCING CONSUMERS WILLINGNESS TO PAY A PREMIUM

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ABSTRACT:

The mounting urgency surrounding environmental degradation and climate change has catalysed a fundamental transformation in both corporate strategy and consumer decision-making.Green marketing helps businesses be more environmental friendly in all their marketing activities. It connects business sustainability with what consumers care about . Many students have looked marketing but few have focused on how its different parts make consumers willing to pay more for eco- friendly products. This is especially true in emerging markets where people are worried about affordability and the environment. This study looks at how green marketing practices, such as products, prices, promotions and more effect consumers willingness to pay a premium . It also looks at how strong a brand's in consumer minds. We collected data from 102 people of ages and backgrounds. Most of them were young, aged 18-25.They live in an emerging market. The study uses atheory that says stimulus or something that happens affects how people feel and then respond. Our initial analysis shows that 76% of respondent are willing to pay a more for green products. Some people still care about prices. We will use numbers and statistics to understand how each part of marketing affects willingness to pay. We want to help marketers, policy makers and sustainability experts make a commercial goals match the United Nations Sustainable development Goals(SDGs). Green marketing is key, Green product matter, Green price is important, Green promotion counts , Green Place has an impact , Green people make a differeneces, Green process is crucial , Green physical evidence plays a role

Keywords: *Green Marketing; Consumer Behaviour; Willingness to Pay; Green Products; Green Pricing; Green Promotion; Green Branding; Sustainable Consumption; Environmental Sustainability; Sustainable Development Goals (SDGs).*

1. INTRODUCTION

Over the twenty years taking care of the environment has become a major concern for business and government. People from over the world are now very careful about the impact that the products and brands they buy have on the environment. This change in the way people think has led to something called marketing , where companies make sure to consider the environment in every part of their marketing efforts as seen in the work of (Dahlstrom, 2011 ; Groening et al.,2018).

Product attributes and eco-friendly pricing and sustainable distribution channels and themed promotions all work together to shape how people think about a brand and whether they want to buy from it .

The extended 7Ps marketing mix frame work which was first proposed by (Booms and Bitner (1980) and later refined for context add three more things to consider : Green people , green process , green physical evidence. These things help us understand how companies show their commitment to the environment and how they actually do it . This study is about how more people are willingness to pay for a brand and product that is green compared to one that is not. We call this willingness to pay a premium price. It is the amount of money a person is willing to pay extra for a green brand and product.

This willingness to pay shows how much people value a brand credential and it is very important for the brands value and for the company to make a money in a sustainable way. Other studies have shown that things like how much people like a brand and how good they think it is and what they associates with the brand can affect whether they are willing to pay more for it. We do not know much about how these things work together to affect willingness to pay in places , Like India where people are moving to cities and getting more aware of environmental issues. India is a place to study this because it has a lot of young people who know how to use digital technology and are getting more aware of environmental issues. We collected data from 102 people. We will use it to study these things .

This study is divided into sections : we will review what other people have written about this topic. Identify what we do not know yet then we will explain how we did our research and what we hope to find out then we will analyze the data and see what it tells us and finally we will conclude what we learned and list the sources we used.

2. LITERATURE REVIEW AND RESEARCH GAP

2.1 Green Marketing and the 7Ps Framework

The conceptual foundations of green marketing trace to the late 1980s, when growing public concern about pollution, resource depletion, and toxic waste prompted academics and practitioners to examine how marketing activities could be restructured to reduce ecological harm (Novela & Hansopaheluwakan, 2018). Green marketing is broadly understood as encompassing all activities designed to generate and facilitate exchanges intended to satisfy human needs with minimal detrimental impact on the natural environment (Dahlstrom, 2011).

The marketing mix framework provides a practical operational structure for implementing green marketing strategies. Originally conceived as the 4Ps — product, price, place, and promotion — by McCarthy (1964), the framework was extended to 7Ps by Booms and Bitner (1980, 1981) to incorporate people, process, and physical evidence, reflecting the increasing service orientation of modern economies. In the green marketing context, each element of the 7Ps takes on an environmental dimension: green products are designed to minimise ecological harm across their lifecycle; green pricing accounts for the environmental and social costs embedded in production; green place encompasses eco-friendly distribution and supply chains; green promotion leverages environmental messaging to alter consumer perceptions and behaviours; green people refers to employees who embody and enact the organisation's sustainability commitments; green processes involve eco-certified operational procedures; and green physical evidence encompasses tangible sustainability cues such as eco-labels, recyclable packaging, and sustainable store design (Larashati et al., 2012; Mukonza & Swarts, 2020).

Prior empirical studies have predominantly focused on the traditional 4Ps. Nguyen-Viet (2023) demonstrated that the four classical green marketing mix elements significantly influence green CBBE in the Vietnamese milk industry. Similarly, Davari and Strutton (2014) found that green marketing mix strategies help bridge the gap between pro-environmental attitudes and actual purchasing behaviour. Sohail (2017) explored how green marketing strategies shape CBBE in hotel settings. However, Nguyen et al. (2025) are among the first to comprehensively investigate all seven elements, revealing that green people and green physical evidence — rather than green price — exert the strongest influence on green brand loyalty and perceived quality. This finding has significant theoretical and practical implications that warrant further empirical validation.

2.2 Green Consumer-Based Brand Equity (CBBE)

Brand equity, conceptualised by Aaker (1991) and operationalised for measurement by Yoo and Donthu (2001), refers to the incremental value accrued to a product or service on account of its brand name.The idea of green CBBE is to think about how people see brands in a way that include the environment . This means looking at

what people think of brands how they feel about them and what they think of their quality through the lens of the environment.These are three parts of green CBBE that stands out in the research and are important for this study.Green brand loyalty is when people want to buy from a brand because of how well the brand takes care of the environment and its promises to be sustainable.studies have shown that when people think a brand is good for the environment and they are happy with it they are more likely to be loyal to the brand and do not mind paying a little more for it.Green perceived quality is what people think of a brands ability to better for the environment and to be a leader in taking care of the earth.

Cbbe and green brand loyalty and green perceived quality are all connected, to how people see brands and the environment .

2.3 Stimulus–Organism–Response (S-O-R) Theory

The S-O-R framework, originally proposed by Mehrabian and Russell (1974) and later reformulated by Jacoby (2002), provides the theoretical scaffolding for this study. In this framework, environmental and marketing stimuli (S) trigger internal psychological processes within the organism (O) — including cognitive evaluations, emotional responses, and attitudinal formations — which in turn drive observable behavioural responses (R). Applied to the present context, the green marketing mix 7Ps collectively constitute the stimulus; green CBBE dimensions (brand loyalty, perceived quality, and brand association) represent the organism's cognitive and affective processing; and WTP for premium-priced green products constitutes the response. This framework has been validated in prior green marketing research (Han et al., 2022; Kwon & Boger, 2021; Nguyen et al., 2025).

2.4 Willingness to Pay a Premium Price

WTP for green products has attracted substantial scholarly attention as a proxy for the commercial viability of sustainability strategies. Consumers who are willing to pay a premium effectively subsidise the higher costs associated with eco-friendly production, creating a virtuous cycle that incentivises corporate greening (Gomes et al., 2023). Research suggests that WTP is shaped by multiple antecedents, including perceived environmental benefit, moral identity, price–quality associations, brand trust, and social norms (Yang et al., 2021; Meet et al., 2024). In the context of brand equity, Netemeyer et al. (2004) identified WTP as a core facet of CBBE, underlining its theoretical centrality.

2.5 Research Gap

A systematic review of the existing literature reveals four principal gaps that this study seeks to address:

Incomplete 7Ps investigation: The overwhelming majority of empirical studies restrict their analysis to the 4Ps (product, price, place, promotion), treating green people, green process, and green physical evidence as peripheral or ignoring them entirely.

This means that we do not really know how well the extended marketing mix works in context.Most students look at what people want to buy or how much they like a brand . the only look at how much people are willing to pay as a secondary thing.

We need to understand how the different parts of marketing nake people willing to pay more but this is not something that has been fully explored.

Most of the research on marketing is done in places like the United states or Europe or in some emerging market like china and Vietnam. We do not know how much about how green marketing works in places like India or other part of south asia where people have different incomes and cultural backgrounds.This is important because people in these places may respond to marketing in different way. We also need to understand how the different parts of the marketing mix like price or advertising affect how much people are willing to pay.For example does a companies loyalty progarm or the quality of its product make people willing to pay more.Green marketing is about the marketing mix and how it influence the willingness to pay is what matters. understanding this is important for companies that want to use marketing because it can help them spend their money on the mpst effective way.The green marketing mix elements can influence the willingness to pay through different parts and we need to know which paths are the most important.The willingness to pay is the thing that companies care about and the green marketing mix is what drives the willingness to pay.

So we need to understand how the green marketing mix drives the willingness to pay and that is what the research should focus on.

3. RESEARCH DESIGN

3.1 Problem Statement

Despite the proliferation of green marketing practices and the growing consumer orientation toward environmental sustainability, businesses in emerging markets continue to face significant challenges in converting green brand equity into premium pricing power. A fundamental problem in extant research is the absence of a holistic empirical framework that simultaneously examines how all seven elements of the green marketing mix shape consumer willingness to pay a premium price through the intermediary of green CBBE dimensions. Without such a framework, marketing managers lack the granular evidence needed to prioritise

investments in green marketing activities. This study, therefore, seeks to empirically test and refine such a framework using primary data collected from an emerging market setting.

3.2 Research Objectives

This study is guided by the following specific objectives:

To examine the impact of Green Marketing practices on consumer willingness to pay a premium

To study the impact of Green marketing practices on green customer-based brand equity(brand Loyalty).

3.3 Research Hypotheses

Drawing on the literature and the S-O-R theoretical framework, the following hypotheses are proposed:

H1: Green Marketing practice have a positive and significant impact on consumer willingness to pay a premium

H2: Green marketing practices positively influence green customer-based brand equity(brand loyalty,perceived quality, and brand association)

3.4 Research Methodology

This study adopts a positivist epistemological stance, employing a quantitative research design to test the proposed structural model. The choice of a quantitative approach is justified by the need for statistical generalisation and hypothesis testing, which require numerical data and inferential analytical techniques (Creswell, 2014). The deductive reasoning process — moving from theoretical propositions to empirical testing — is consistent with the positivist tradition and is appropriate for model validation studies in marketing research.

3.5 Data Collection Method

Primary data were collected through a structured, self-administered online questionnaire designed in accordance with established measurement scales from the green marketing and brand equity literatures. The questionnaire is divided into two broad sections: (1) demographic profiling, capturing information on age, educational qualification, occupation, and monthly income level; and (2) scale items assessing constructs related to the green marketing 7Ps, green CBBE dimensions (brand loyalty, perceived quality, brand association), and willingness to pay a premium price.

A seven-point Likert scale (1 = Strongly Disagree to 7 = Strongly Agree) is employed throughout, consistent with the original scales adapted in Nguyen et al. (2025) and validated in prior green marketing research (Yoo & Donthu, 2001; Syed Alwi et al., 2016; Lim et al., 2023). All items were reviewed by academic experts and subjected to a pilot test to ensure face and content validity before full deployment.

The survey was administered via Google Forms to a convenience sample of consumers in an emerging market setting. The final usable sample comprises 102 respondents, representing a diverse cross-section of age groups, educational qualifications, occupational categories, and income levels. While the sample size is below the 500-respondent threshold recommended for large-scale SEM analyses, it meets the minimum requirements for PLS-SEM, which performs reliably with smaller samples (Hair et al., 2021; Chin & Newsted, 1999).

3.6 Sampling Strategy

A purposive convenience sampling approach is employed, targeting adult consumers who have purchased or considered purchasing environmentally friendly products within the preceding six months. This criterion ensures that respondents possess direct experiential reference points for evaluating green marketing attributes, minimising response bias arising from unfamiliarity with the constructs. The survey link was distributed through academic networks, social media platforms, and online communities focused on sustainable living and environmental awareness.

4. DATA ANALYSIS AND EXPECTED OUTCOMES

4.1 Analytical Framework

The study employs a two-stage analytical framework. The first stage involves descriptive statistical analysis of demographic variables and construct-level response distributions, providing an initial portrait of the sample and identifying broad patterns in WTP. The second stage involves Partial Least Squares Structural Equation Modelling (PLS-SEM), executed using SmartPLS software, to test the proposed structural relationships and assess both the measurement model (reliability and validity) and the structural model (path coefficients and R-squared values).

PLS-SEM is particularly appropriate for this study for three reasons. First, it is well-suited to exploratory and theory-building research where the model is complex and latent construct measurement involves multiple indicators (Hair et al., 2021). Second, it performs reliably with smaller sample sizes, making it appropriate for the current dataset of 102 respondents (Chin & Newsted, 1999). Third, it accommodates both reflective and formative measurement models, offering methodological flexibility that aligns with the multi-dimensional structure of the green CBBE constructs under investigation.

4.2 Measurement Model Evaluation

Prior to structural path analysis, the measurement model will be evaluated for reliability and validity using the following criteria: (a) indicator reliability, assessed through outer loadings (threshold > 0.70); (b) internal

consistency reliability, assessed through Cronbach's Alpha and Composite Reliability (threshold > 0.70); (c) convergent validity, assessed through Average Variance Extracted (AVE > 0.50); and (d) discriminant validity, assessed through the Fornell–Larcker criterion and the Heterotrait-Monotrait Ratio of Correlations (HTMT < 0.85). These criteria are consistent with best-practice PLS-SEM guidelines (Hair et al., 2021; Henseler et al., 2015).

4.3 Structural Model Evaluation

The structural model will be evaluated using bootstrapping with 5,000 subsamples to generate t-statistics and p-values for path coefficients. Hypothesis acceptance will be determined at the conventional significance threshold of $p < 0.05$. Model fit will be assessed through the Standardised Root Mean Square Residual (SRMR < 0.08) and the Normed Fit Index (NFI > 0.70). Mediation analysis will be conducted using indirect effects testing with bootstrap confidence intervals to evaluate whether green CBBE dimensions significantly mediate the relationship between green marketing mix elements and WTP.

4.4 Preliminary Descriptive Findings

Preliminary examination of the collected survey data (N = 102) yields several noteworthy observations. The sample skews young, with 76.47% of respondents falling in the 18–25 age bracket — a demographic cohort characterised in the literature by relatively strong environmental consciousness and digital media engagement. Students constitute the largest occupational group (58.82%), and more than half of respondents (53.92%) report monthly incomes below Rs. 20,000, indicating significant income constraints.

Despite these income constraints, WTP responses are broadly positive. For the item 'I am willing to pay more for premium green products than for other products,' 41 respondents selected 'Agree' and 19 selected 'Strongly Agree,' together representing approximately 59% of the sample. An additional 6% responded 'Somewhat Agree,' bringing the total affirmative response rate to approximately 65%. These figures are consistent with findings from comparable emerging market studies (Nguyen et al., 2025; Gomes et al., 2023) and suggest that brand-mediated green marketing has genuine pricing leverage even in price-sensitive consumer segments.

For the item ‘ I am willing to pay more for green products than for other products ‘ 41 people agreed and 19 strongly agreed.This represents about 59% of the sample . Another 6% said they somewhat agree. So 65% of people agreed with this statement.These numbers are similar to what other studies found in emerging markets (Nguyen et al.,2025;Gomes et al., 2023). This suggests that green marketing can really work, with people who cares about prices.

For the item' the prices of products will have to increase quite a bit before I will switch to other products' 34 people agreed and 23 strongly agreed. This is 56% of the sample.This shows that people who buy products are not very sensitive to price changes. They are willing to pay a bit more.This make senses with what we know about brand loyalty and trust.

Product packaging and eco friendly materials also scored high in the survey.people likes seeing recycling symbols and eco -claims on packaging.Employee training on issues and green knowledge management also got high scores.These findings support what other researcher found (Nguyen et al.,2025). They said these findings support our research ideas.Green Products and marketing really matter to people.They are willing to pay more for products that are good for the environment.Green brand loyalty and trust are key to making green products successful.

4.5 EXPECTED OUTCOMES

Based on the theoretical framework, the literature review, and preliminary descriptive patterns in the data, the following outcomes are anticipated from the full structural analysis:

Green people and green physical evidence are expected to emerge as the strongest predictors of green brand loyalty and green perceived quality, replicating the pattern reported by Nguyen et al. (2025) and extending it to the current emerging market context.

Green price is not expected to yield a statistically significant relationship with brand loyalty or perceived quality, given the income sensitivity of the sample and the relatively low price differentiation awareness documented in preliminary responses.

Green brand association is expected to be the dominant CBBE mediator connecting marketing stimuli to WTP, given its role as the repository of all environmental meanings, values, and identities that consumers associate with a brand.

Green promotion and green place are expected to have moderate but significant effects on green perceived quality and brand association, mediated primarily through information credibility and product accessibility perceptions.

The overall model is expected to achieve a satisfactory level of explanatory power ($R^2 > 0.40$ for WTP), demonstrating the collective capacity of the green marketing 7Ps and CBBE mediators to explain variance in premium pricing willingness.

Young people and people with education are likely to be willing to pay more for green products. This is what we expect to find based on what other studies have said about people who buys Things . We will test these ideas using statistics and look at the results to see what they mean for people and for companies that sell green products.

5. CONCLUSION

This study is about how green marketing effects what people are willing to pay for products that are good for the environment. We are looking at how green marketing can amke people want to pay more for these products . we are using framework that include seven important parts of green marketings . This is new because other studies have only lookes at a part of green marketing.

This study is important because it looks at all seven parts of marketing and how they affect what people are willing to pay. It also uses a model that helps us understand how people react to green marketing . We are using statistics to make sure our result are good . This will help marketing managers make a decision about how to spend their money on green marketing.

If we find that people care about companies that are green and have green stores and packaging then should not just focus on changing princess .This study will also help people who make policies understand how to encourage companies to be more green .

These are some limitations to this study . We useda group of people and only lookes at them once. We should do studies with bigger groups of people and look at them over time to make sure our results are strong. We should also look at industries, like education and food to see it our results apply to them.

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